The Good, the Bad, and the Ugly of Leverage

Leverage, once again, in this context at least, simply means borrowing money to invest. The great stock market returns experienced in recent years have tempted many investors into precisely that risky proposition.

Now, you might be thinking that you don't engage in this risky strategy and this chapter likely doesn't apply to you at all. In reality, however, leverage isn't necessarily risky or rare. It is more common than you might think, and you might even unknowingly be engaging in the strategy yourself. What do I mean by this? As you can see from Table 4.1, most people who live in and (partially) own their house have a mortgage, which means they are leveraged. In fact, if you buy a house with 10% money down, and hence you borrow 90%, your debt to equity ratio is 9-to-1. This is on par with some hedge funds! So, you just might not be as immune from the risks of leverage as you thought. At the very least, you should spend a bit of time examining and thinking about You, Inc.'s debt-to-equity ratio as well as the optimal capital structure, which is another way of saying the balance between debt and equity.

TABLE 4.1 Does Your Family Unit Own a House?

Age	% Owning a House	Median Value*	Mortgage on Residence*
Total	**69.1**	**$160,000**	**47.9%**
Under 35	41.6	$135,000	37.7%
35 to 44	68.3	$160,000	62.8%
45 to 54	77.3	$170,000	64.6%
55 to 64	79.1	$200,000	51.0%
65 to 74	81.3	$150,000	32.1%
75 or older	85.2	$125,000	18.7%

*For those who owned their principal residence

Data Source: U.S. Federal Reserve Consumer Finances Survey 2004, Table 11 04.